

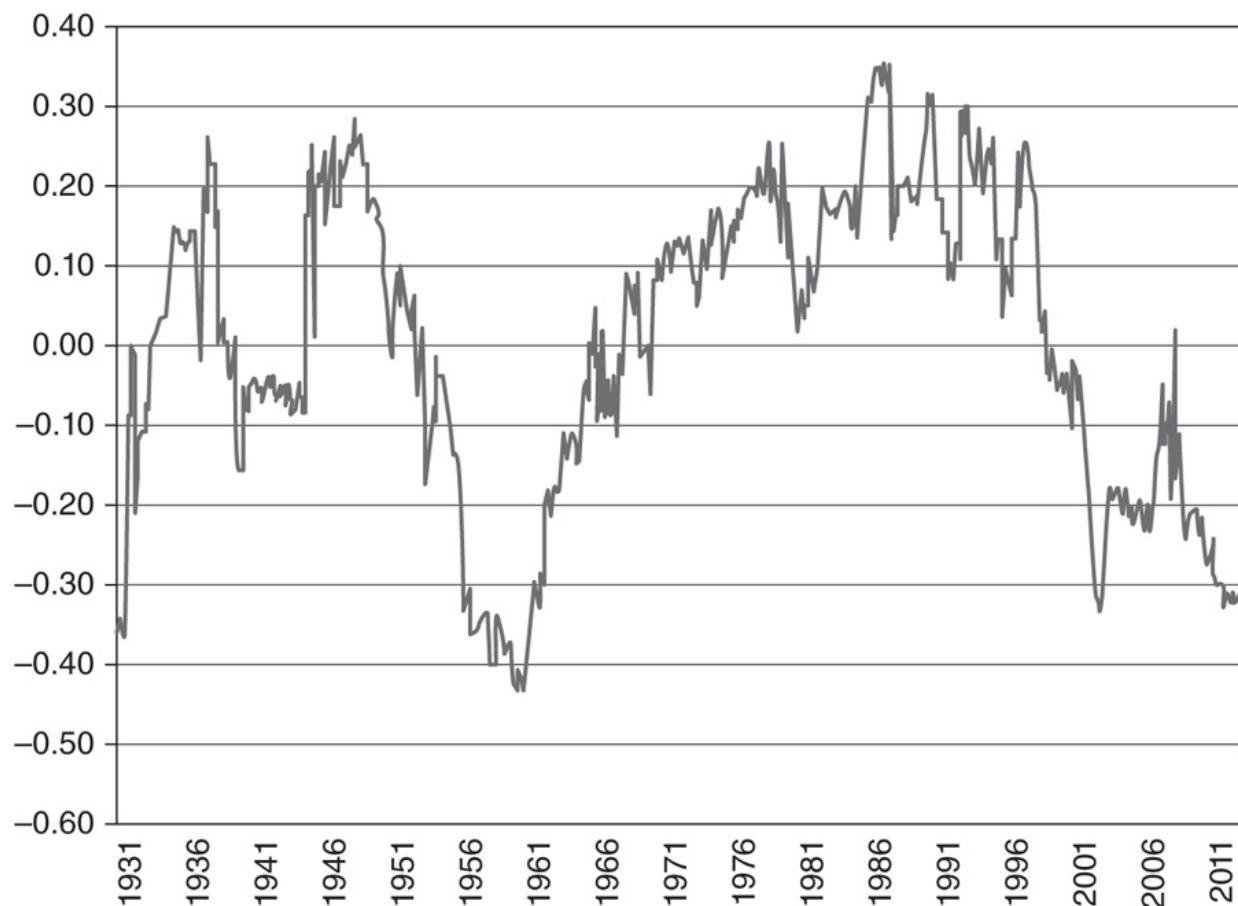


Figure 5.1 Five-Year Correlations Between the S&P 500 Index and U.S. Government Bonds, 1931–2011

Bonds can also be less stable than stocks and just as vulnerable to extreme losses. Since 1900, the maximum drawdown in real terms of long-term U.S. government bonds was 68%. The maximum drawdown for U.S. stocks was 73%. For every five-year period since 1807, the worst performance of stocks (–11% per year) was only slightly worse than the worst five-year performance for bills and bonds. When looking at 10-year holding periods, the worst stock performance was actually better than the worst bond performance!⁴

Looking at returns rather than losses over the past 200+ years, the real return from bonds has averaged 3.6% annually, while the real return from stocks has averaged 6.6% per year.⁵ Figure 5.2 shows what this has meant for investors over the long run. I suggest staring at this chart until the message really sinks in. Your long-term financial condition may depend on